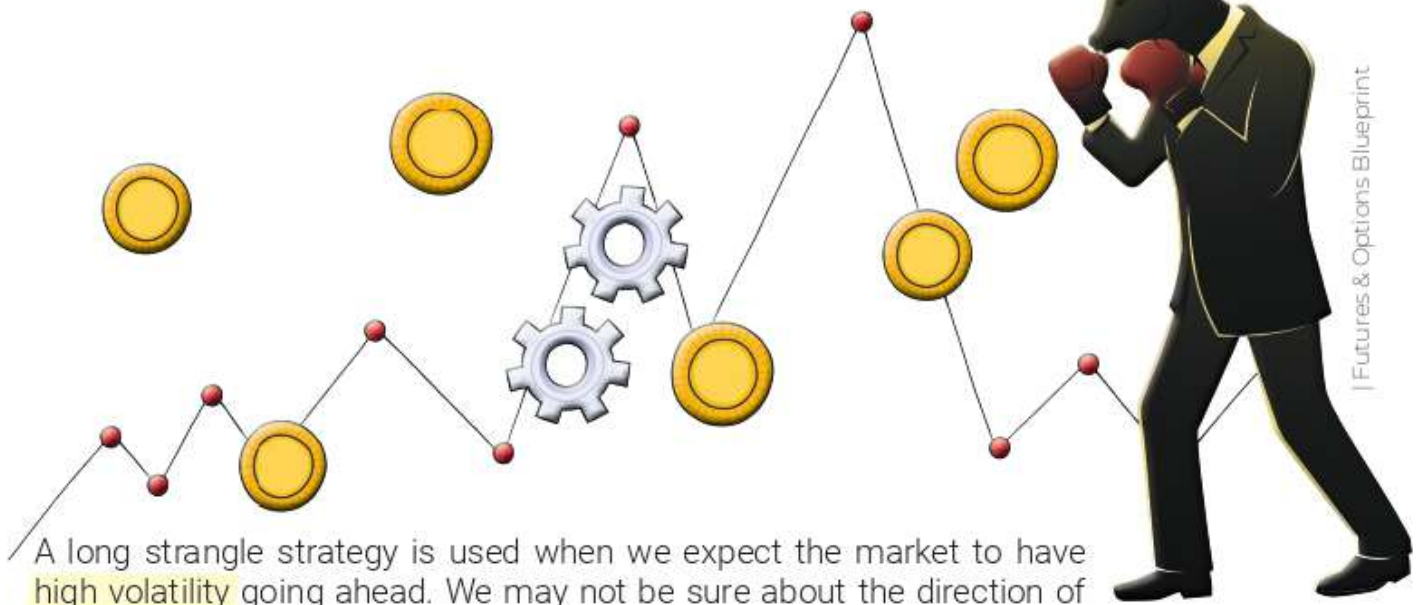


LONG STRANGLE STRATEGY

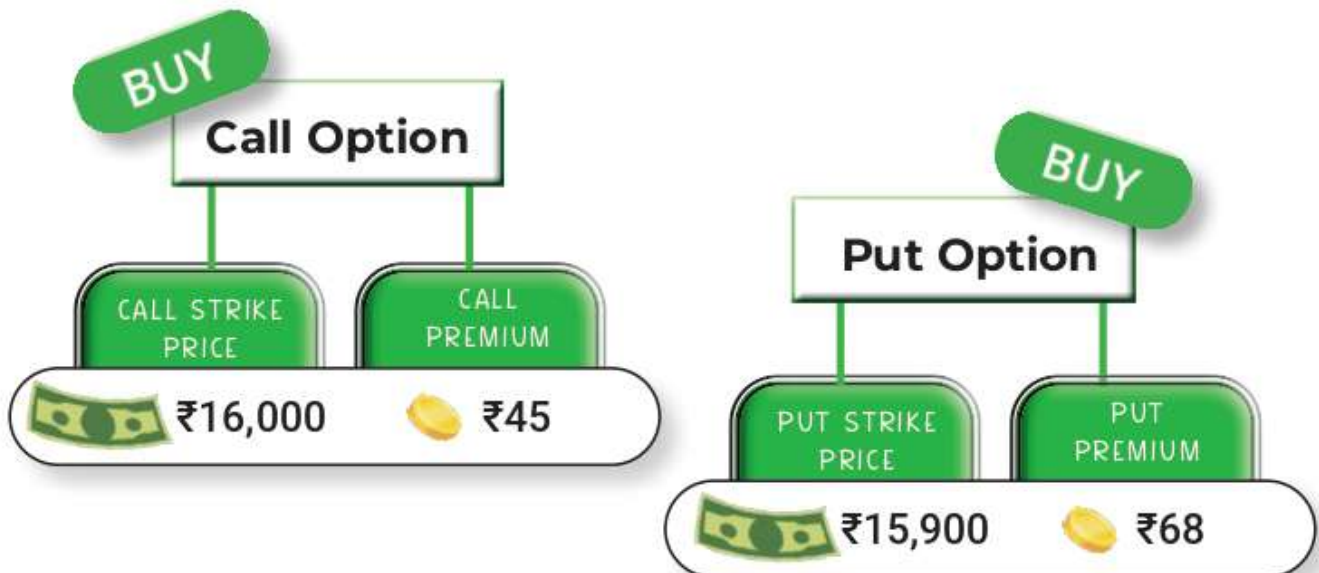


| Futures & Options Blueprint

A long strangle strategy is used when we expect the market to have **high volatility** going ahead. We may not be sure about the direction of the market prices but expect high volatility. We buy both call and put options at different strike prices on the same underlying asset. With this strategy, we have **LIMITED LOSSES** and enjoy **UNLIMITED PROFIT POTENTIAL**. Also, as a long position holder, we have a low margin requirement.

For instance,

we buy a call at a strike price of ₹16,000 at a premium of ₹45 and a put option at a strike price of ₹15,900 at a premium of 68.



$$\text{MAXIMUM LOSS} = ₹45 + ₹68 = ₹113$$

While we still enjoy **UNLIMITED PROFIT POTENTIAL** when the volatility is high.